



## 2026 NATO Ankara Summit: Defence Spending Surge

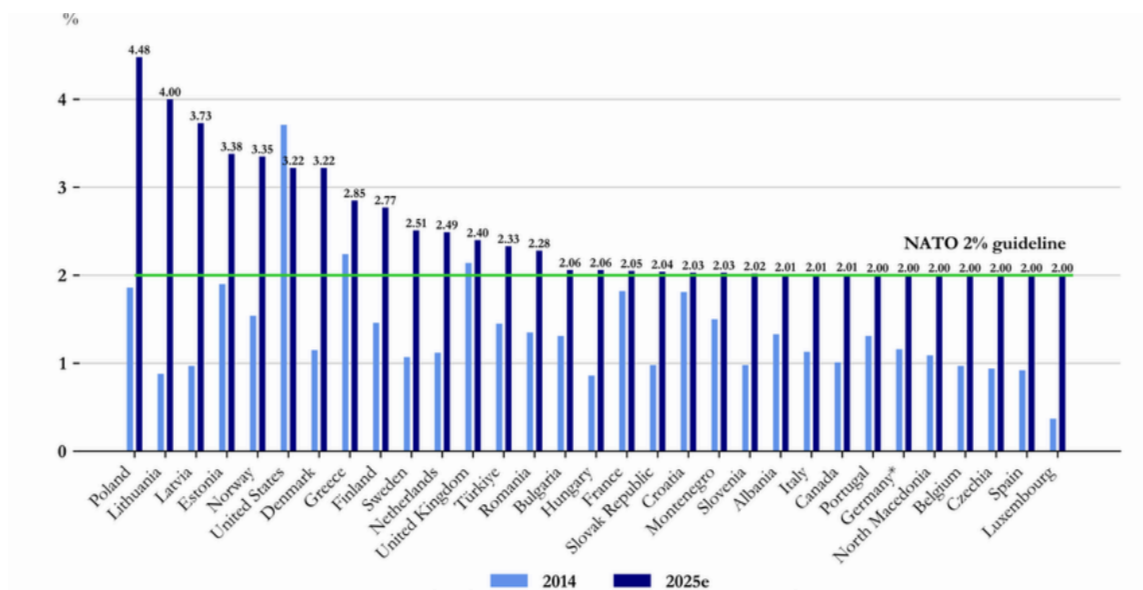
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NATO leaders gathered in Ankara in 2026 to renew a pledge first made at the 2025 summit in The Hague: raising defence and security spending across the Alliance to 5% of GDP by 2035, alongside greater investment in infrastructure, industrial capacity and resilience. With more than \$50 billion in new defence procurement, including long-term contracts, companies operating in precision strike systems, air and missile defence, and next-generation military technologies are likely to benefit. The summit also reinforced investment in defence manufacturing and infrastructure, critical-minerals supply chains, and continued support for Ukraine.

### Immediate Political and Market reaction

- The NATO Secretary General confirmed that the summit was a success and that it produced “a NATO which is truly transformed”, although the figures reflect a different story where: only 5 of the 32 allies are on track to hit the 3.5 percent of GDP on core defence targets in 2026. The gap between the planned transformation and the actual pace suggests that the goals will be spread out for years rather than achieved in a near-term shift.
- Rheinmetall signed a preliminary agreement with Lockheed Martin to jointly produce ATACMS missiles. Germany is also planning record defence expenditure of up to €109 billion. While Rheinmetall's share price remains 45% below its 2025 record high, further strategic contract wins could be required to translate higher NATO spending into sustained investor confidence.
- Sweden's Saab is also benefiting from rising defence demand, having secured significant contracts, including a €2.2 billion deal to supply Gripen fighter jets to Ukraine and a \$4.5 billion agreement for GlobalEye airborne early-warning aircraft. These developments highlight growing demand for European defence production and could support efforts by NATO members to reduce reliance on US suppliers in selected capabilities.
- The Canadian Prime Minister also announced the creation of a Canada-led Defence, Security and Resilience Bank (DSRB), backed by Albania, Belgium, Ukraine, Greece, Latvia, Luxembourg, Romania and Turkey. The bank aims to provide low-interest financing for defence projects, with an ambition to mobilise \$134 billion in capital, and is expected to begin operations by 2027. If implemented, the initiative could improve access to financing for defence companies and projects across participating countries.

Defence expenditure as a share of GDP (%)  
(Based on 2021 pricing and exchange rates)



Source: NATO

### Commercial Implications

- NATO unveiled more than \$50 billion in new defence procurement, focused primarily on deep precision strike and integrated air and missile defence. The plan also includes an interoperable transatlantic warfighting cloud and the adoption of AI models, creating potential opportunities for defence manufacturers as well as companies operating in cloud computing, artificial intelligence and military technology. However, with only five of 32 NATO members currently projected to reach the 3.5% core defence spending target in 2026, the commercial impact is likely to build gradually as national budgets are translated into procurement contracts.
- The Alliance also pledged \$80 billion in military equipment, assistance and training for Ukraine in 2026, reinforcing demand for ammunition, armoured vehicles, air defence systems and unmanned technologies. Companies supplying these capabilities could benefit from increased procurement, although the timing of the commercial impact will depend on national procurement processes and production capacity.
- With China controlling 60 to 90 percent of the supply of more than 12 critical defence raw materials that are also essential to the western bloc, the summit launched the High Visibility Project involving 12 Allied nations, focused on procurement, stockpiling, transportation and management of these materials. This opens a commercial opportunity in the mining, processing, stockpiling and logistics, as the government builds alternative supply sources. As the diversification is more of a long term project, in the near term the stockpiling and logistics industries are likely to gain more than new extraction and refining capacity.